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"INDIA IS NOT READING THE WRITING ON THE WALL IN MYANMAR FOR CHANGE. IT PREFERS THE STATUS QUO"

–GAUTAM MUKHOPADHAYA
Former ambassador to Myanmar

India's private sector giants also stepped up to the plate, with ITC opening Ratnadipa, a luxury holiday resort in Colombo this April. ITC chairman Sanjiv Puri says they have invested $500 million in the property. Meanwhile, the Adani Group invested over $700 million to build the West Coast Terminal at the Colombo port and $442 million on a wind power plant in Northern Lanka. The mix of timely aid, financial assistance and big-ticket private investments has resulted in a favourable shift in attitude on Colombo's streets towards India, which augurs well for ties between the two countries even if there is a change of guard at the top. India also managed to overcome Maldivian hostility with a call to boycott the Maldives as a tourist destination. With a 42 per cent drop in Indian tourists, the archipelago was soon urging Indians to be a part of its tourism since their economy depended on it. It also forced the ruling dispensation to tone down its anti-India rhetoric.

AVOIDING A ONE-SIZE-FITS-ALL

Other experts advocate that India work towards massive infrastructure projects that can integrate the South Asian region better and bring about greater economic connectivity rather than allow China to take the lead. The new political dispensation in Nepal, for instance, is looking for a greater opening out of road and water routes from India apart from power projects to tap its hydroelectric potential. India had been lukewarm to buying power from projects bankrolled by the Chinese in Nepal. Rather than stalling these projects, Rae argues that India should encourage friendly countries such as Japan and South Korea to invest in Nepal so that the interdependence increases. Rae thinks that the Indian armed forces' Agnipath scheme for recruitment was short-sighted because it stopped the recruitment of Nepalis to the Indian Army, breaking a 200-year-old tradition. Over the years, these servicemen had become a bulwark against anti-Indianism in the country. Now, the scheme has become a sore point in the relations between the two countries. Mukhopadhaya says that rather than a one-size-fits-all economic policy, India should focus on enhancing the agriculture and horticulture export potential in countries like Myanmar, which could win over a large majority of their population.

Absolutely critical is developing a strong regional trade association and pushing through a free trade agreement that can boost intra-regional trade. After the South Asian Association for Regional Cooperation (SAARC) got derailed because of India-Pakistan hostilities, India set up the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC) in 2004. Comprising seven countries—Bangladesh, Bhutan, Nepal, Sri Lanka, Myanmar, Thailand and India—it excludes Pakistan and China. However, the grouping has had only five summit meetings in the past two decades and has dragged its feet over agreeing on an FTA. Last week at a meeting of stakeholders in New Delhi organised by the Confederation of Indian Industry (CII), Union commerce minister Piyush Goyal expressed serious concern over the slow pace of negotiations for an FTA and said "there is a need to find newer pathways and alternative solutions, including kicking it off with a Preferential Trade Agreement (PTA) that could morph later into a full-blown FTA".

One stark finding the CII study on BIMSTEC trade threw up was that trade engagement among its members accounts for only 6 per cent of their total trade, which is vastly below potential. India's total trade with BIMSTEC countries was pegged at $44.32 billion in 2023-24, or 5.7 per cent of the country's total exports of $776 billion. There is no doubt then that, more than political and security considerations, pushing for massive regional economic and trade integration is the way forward. As one expert put it, "If our neighbours try to sink us, they will only sink themselves." Former prime minister A.B. Vajpayee once remarked, "You can't change your neighbours, but you can change your friends." India's endeavour should now be to turn its neighbours into friends rather than be a natural magnet for their resentment because of its size and proximity. ■